

UNDERSTANDING CONSUMER BEHAVIOUR AT CHEMIST/ PHARMACY

Background & Objective:

- Client Brand aims to understand customer behavior and purchasing patterns in the chemist channel through a survey focusing on preferences, decision-making factors, and purchase triggers.
- To understand this, a survey is run via Company X Platform, among the following **target group**:
 - Gender Split: 50% men, 50% women
 - Age Group: 25–45 years
 - Location: Residents of top 10 cities in India
 - App Usage: Company X app users for at least 1 year
 - Order History: Ordered at least 2 samples from Company X in the past 12 months
 - Product Sampling: Sampled at least 5 skincare products in the last 12 months, including at least one dermat/doctor-recommended brand (e.g., Sebamed, Cetaphil, Neutrogena)
 - Purchase Behavior: Spent ₹2,000+ on full-basket e-commerce purchases via Company X in the last 12 months.

Executive Summary:

- **Pharmacy Preference and Spending:** Nearby pharmacies dominate consumer choices due to convenience and personalized service. Most consumers' monthly pharmacy spend is up to ₹1000, with prescription-based and doctor-recommended products making up the majority of purchases.
- **OTC Product Popularity:** The Over-the-Counter (OTC) market is predominantly driven by products like cold, cough, and congestion medications, as well as personal care items. Consumers often discover these products through online searches and in-store browsing.
- **Consumer Engagement and Loyalty:** Nearly half of the consumers participate in pharmacy loyalty programs, indicating the growing influence of rewards and personalized offerings on their purchasing decisions.
- **Challenges in Pharmacy Shopping:** Consumers face challenges related to product availability and lack transparency in medication information. There is also a growing demand for more seamless, informative, and accessible shopping experiences within the pharmaceutical sector.
- **Future Shopping Trajectory:** While 29% of consumers intend to increase their online pharmaceutical purchases next year, 70% continue to rely on traditional pharmacies, driven by established routines, limited online alternatives, and a preference for bulk buying to reduce frequent visits.

Study Findings:

ONLINE & OFFLINE SHOPPING BEHAVIOUR

Shopping Behaviour:

Online Shopping Behaviour

- **Frequency of Online Shopping:**
 - At an overall level, **twice-a-week and once-a-week shopping online are the more common**, with 65% of respondents indulging in this frequency.
 - Females are more likely to shop twice a week (40%).
 - The 35–45 age group shows the highest frequency of twice-a-week shopping online (44%).
- **Preferred Product Categories for Online Purchases:**
 - Beauty and personal care is the top category for online shopping, with 85% purchasing from this category.
 - The 35–45 age group purchases grocery (75%) and food/beverages (75%) more frequently than other categories.
 - Medicines are the least purchased category online, with only 34% of consumers indicating they buy them most frequently online.
 - The incidence of purchasing medicines online is notably lower among males compared to females, suggesting that males show a stronger preference for not buying medicines online.
- **Preferred Platforms for Online Shopping:**
 - E-commerce platforms (e.g., Flipkart, Amazon) are the most preferred, with 60% of respondents using them.
 - Quick-commerce platforms (e.g., Blinkit, Zepto) see higher usage among the 35–45 age group (33%).

Offline Shopping Behaviour

- **Frequency of Offline Shopping:**
 - At an overall level, 29% of respondents visit offline stores once per week.
 - The 35–45 age group is slightly more frequent, with 32% shopping offline weekly.
 - **24% of respondents visit offline stores once a month**, showing a consistent shopping habit.
- **Preferred Product Categories for Offline Purchases:**
 - **Fashion/apparel/ small accessories** is the most purchased offline category (34%).
 - Medicines rank among the **top three categories** purchased offline, with **21% of respondents** mentioning it as their most typical offline purchase.

Pharmacy Shopping Insights and Trends

- **Store Selection and Accessibility**
 - 66% of consumers mostly visits **local pharmacies**.
 - Female (71%) & 35-45 (74%) age bracket people most often visit the local pharmacies.
 - Consumers show a balanced preference between traditional, owner-run stores (54%) and modern chain pharmacies (46%), with a **slight inclination towards traditional stores**.
- **Reason for preference between Local-Know store V/S Chain store**
 - **22%** of respondents always go to the nearby pharmacist as it is the **most convenient** option, while 17% of respondents prefer the nearby pharmacist because they **know** the pharmacist and pharmacist **understand their needs**.
 - The **35-45 age bracket (32%)** mostly prefers it due to convenience.
 - 18% of respondents prefer chain stores for trust and transparency, while another 18% choose them for **assurance of medicine availability** when they run out of supplies.
- **Frequency of Visits and Time Spent at Pharmacies**
 - In the past 6 months, 62% of consumers typically visited pharmacies when they are **ill** or **for their family member medical reasons/ needs**.
 - The 35-45 (34%) age group does more weekly or monthly visits for family medical reasons.
 - 64% of consumers browse shelves for 5-10 minutes, typically in chain stores.
- **Purchase Behaviour, Product Preferences & Expenditure**
 - **Prescription-based and doctor recommended pharmaceuticals/ products** are the most common purchase in past 1 month at pharmacy, with 53% & 45% of respondents respectively relying on it.
 - The 35-45 age group is the most consistent purchaser of medical products, with 63% buying prescription medications.
 - **Prescription/ Pharma based purchase:** 65% of respondents only visit pharmacies when they/ their family member is ill and and want to purchase prescription based or pharma-based product
 - 53% of respondents spends up to **₹1000/ month** for pharmacy needs for them or their family
 - Respondents in the **35-45 age bracket (52%)** typically spend more than ₹1,000 on their or their family's pharmacy needs per month
- **Loyalty Programs**
 - **46%** of consumers are enrolled in a loyalty or money-saver program offered by their nearby pharmacist, indicating a significant preference for programs that provide savings or benefits.
 - The **35-45 age group (59%)** has a higher tendency to participate in loyalty programs, reflecting their focus on maximizing value from their **higher pharmacy spend**

- **Key Challenges and Consumer Concerns**

- 41% of consumers report product availability issues when shopping at nearby pharmacies, while 36% cite concerns over the clarity of medication information.
 - Respondents in the 35-45 age bracket find lack of availability a bigger concern, with 47% indicating this issue

Over the Counter (OTC)

- **Awareness & Product preferences**

- 29% of consumers typically **become aware of new OTC products through online search** when they/ their family member has an issue, while 25% rely on chemist for their view or opinion
- 55% of consumers browse and explore new OTC products when visiting pharmacies, having tried new items in the process.
 - The **most purchased OTC products are cold, cough, and congestion-related (49%)**, followed by beauty and personal care items (24%).
- 45% of respondents stated that they only purchased OTC products **once or twice on a time bound need** without doctor recommendation/ prescription, while only 5% said **consumers tend to buy post doctor prescriptions/ recommendations.**

Future Shopping Trajectory

- 29% of consumers plan to buy more medicines online next year.
 - Female consumers (32%) are slightly more inclined towards shifting to online pharmaceutical purchases.
- Despite 29% of consumers expressing interest in buying more medicines online, **70% still rely on traditional pharmacies**, as 25% plan to maintain their routine, 25% feel they have no choice to shift, and 21% intend to visit pharmacies less but continue to load up on supplies for longer durations.